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1. Structure of the Government

Introduction

Understanding the structure of the government is important to understand fiscal policy.

Function of Government

- The primary function of every government is to tax people to collect revenue.
- The revenue collected is used to maintain law and order, defense, infrastructure, and other social services.
- The well-defined Constitution framework outlines the nature of resource mobilization and responsibilities of different government levels.

NFC Awards and 18th Amendment

- NFC Awards is a body that divides the revenue sharing formula for divisible pool of resources between federal and provincial governments.
- The recent radical changes in Pakistan's Constitution are NFC Awards and the 18th Amendment.
- NFC Awards enhances the share of provinces in the federal divisible pool.
- The 18th Amendment abolished the concurrent list of functions performed by the government and devolved the functions to provincial governments.
- The 18th Amendment significantly enhances the range of functional responsibilities of provincial governments.

Structure of Government

- Federation of Pakistan is governed by its Constitution, with different functions and responsibilities for federal and provincial governments.
- The federal government has exclusive responsibility for undertaking functions under the federal legislative list.
- The concurrent list includes social welfare, population planning, tourism, and education functions to be performed by either the federal or provincial government.
- Residual functions related to agriculture, irrigation, justice, and the police sector are the responsibility of provincial governments.
- The existence and resources of local governments are expected to be in check, and they are responsible for self-financing their expenditure at the local level.

Recommended Book for Detailed Understanding of Fiscal Policy and Taxation

- The speaker recommends a book for further understanding of fiscal policy and taxation.
- The book provides detailed information on the topic.

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The structure of government in Pakistan It covers the following key points:

The key function of any government is to collect taxes from citizens to finance government activities like maintaining law and order, national defense, infrastructure development, and social services.

Pakistan has a defined constitutional framework that divides responsibilities between different levels of government.

Recent changes have strengthened provinces financially. The 7th NFC award in 2010 increased the provinces' share of the divisible pool of federal resources. The 18th amendment abolished the concurrent list of functions, devolving more responsibilities to provinces.

The federal government is responsible for regulatory functions and service functions like defense, external affairs, currency and banking, and transportation.

The concurrent list included social welfare, planning, tourism and education which can be undertaken by either the federal or provincial governments.

Residual functions like agriculture, irrigation, police and justice are the responsibility of provincial governments.

Local governments were initially extensions of provincial governments but are now expected to generate their own revenues and finance their expenditures.

2. Structure of the Taxation

Introduction

This is the second video of the fourth module, Public Finance and Taxation.

- This video focuses on the structure of taxation in Pakistan.
- There are three levels of institutions involved in building up the taxation structure: legislative, executive, and judiciary.

Legislative Level

- The legislative level involves the parliament and its approval of different acts and ordinances related to taxes.
- Examples of legislation related to taxes in Pakistan include the Income Tax Act of 1922, Income Tax Ordinance of 1979, Income Tax Ordinance 2001, Sales Tax Act of 1990, and Sales Tax Act of 2005.

Executive Level

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- The executive level involves tax authorities responsible for administering taxes.
- This level includes the Finance Minister, Finance Secretary, and the Federal Board of Revenue.
- Their task is to check the efficiency and effectiveness of taxes through hiring subordinates, making rules, and using different media to administer taxes.

Judiciary Level

- The judiciary level involves interpreting tax laws and ensuring their implementation.
- Members are appointed by the federal government.

Changes to Taxation Structure

- The taxation structure changed after the 18th Amendment and NFC Awards.
- Prior to the 18th Amendment, the federal government collected taxes and duties according to the Federal Legislative List, while provincial governments delegated some of their legislative functions to local governments.
- Local governments collected residual taxes that the federal government did not collect.

Revenue Sources

- Taxation is the basic source of revenue for the government.
- Other sources of revenue include net profits and revenues from commercial departments of the government, interest on loans, return on investment, administrative departments and ministries, government fees, charges on petroleum and natural gas, and dividends earned by the government from different departments.

Types of Taxes

- There are two types of taxes in Pakistan: direct and indirect.
- Direct taxes include income tax, capital value tax, workers' welfare fund, and other types of taxes collected directly from people.
- Indirect taxes include sales tax, customs and FZE duties.

Tax Collection

- Only 7% of tax collection is done at the provincial level in Pakistan.
- The basic structure of taxation changed after the 18th Amendment.

Structure of 18th Amendment

- The structure of the 18th Amendment is the same as the structure of the TA Amendment.

NFC Awards

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- The NFC Awards strengthen the provincial government regarding tax collection and revenue collection.

Delegation of Authority and Responsibility

- The 18th Amendment delegates authority and responsibility regarding tax collection and other matters.

Key Points

Structure of Taxation in Pakistan:

1. Legislative Level:
- Legislation is done in the parliament.
- Various acts and ordinances related to taxes are approved and presented.
- Examples include the Income Tax Act of 1922, Income Tax Ordinance of 1979, Income Tax Ordinance 2001, Sales Tax Act of 1990, and Sales Tax Act of 2005.
- Legislative approval is a crucial step in shaping tax laws.

2. Executive Level:
- Tax authorities at the executive level administer and implement taxes.
- Executives are responsible for checking the efficiency and effectiveness of taxes.
- Hierarchy includes positions like Finance Minister, Finance Secretary, and the Federal Board of Revenue in Pakistan.
- Executives make rules, issue notifications, and use various means to collect taxes and administer the taxation structure.

3. Judiciary:
- The judiciary interprets tax laws and ensures their implementation.
- Members of the judiciary are appointed by the federal government.
- The role is to interpret laws related to taxation and ensure their proper implementation.

Changes Post 18th Amendment and NFC Awards:

- Prior to the 18th Amendment, the federal government collected taxes and duties.
- Provincial governments delegated some legislative functions to local governments, which collected residual taxes.
- After the 18th Amendment, there was a significant change in the taxation structure, and the provincial government gained more responsibility for tax collection.

Sources of Government Revenue:

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- Taxation remains the primary source of revenue for the government.
- Other sources include net profits and revenues from commercial departments, interest on loans, administrative fees, charges on petroleum and natural gas, and dividends earned from different government departments.

Types of Taxes:

- Two main types of taxes are direct taxes and indirect taxes.
- Direct taxes include income tax, capital value tax, workers' welfare tax, and other taxes directly collected from individuals.
- Indirect taxes include sales tax, customs and FZE duties.

Provincial Level Tax Collection:

- Post-18th Amendment, provincial-level tax collection increased significantly.
- Provincial governments have more authority and responsibility for revenue collection.

3. Issues in Taxation 1

The provided text discusses issues related to the taxation structure in Pakistan, focusing on problems at the federal level. Here's a summary:

Federal Level Taxation Issues:

1. **Low Tax-to-GDP Ratio:**

- The tax-to-GDP ratio in Pakistan has been low and stagnant, around 10-12%.
- This low ratio contributes to recurrent budget deficits.

2. **Overdependence on Indirect Taxes:**

- The federal tax system heavily relies on indirect taxes, constituting around 80% of overall tax revenue.
- This high dependence on indirect taxation is considered a problem in the taxation structure.

3. **Concentration on International Trade:**

- Indirect taxes show domination towards international trade.
- This concentration on international trade-related taxes may lead to inefficiency in resource allocation and encourage unlawful trade practices.

4. **Narrow Tax Base and Evasion:**

- The effective tax base is narrow, partly due to numerous tax exemptions and concessions.

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- The culture of tax evasion is prevalent, leading to further erosion of the tax base.
- Attempts to counter evasion often result in increased tax rates, creating a cycle of erosion.

4. **Complex Tax Procedures:**

- Tax procedures and laws are complex, making it difficult for the common man to understand and implement.
- Complexity contributes to corruption and inefficiency in the taxation system.

Recommendations from World Bank:

- Strengthen Tax Base:

Suggestions were made to strengthen the tax base in Pakistan.

- Increase Share of Direct Taxes:

There is a recommendation to increase the share of direct taxes in the total tax revenue, considering the current high dependence on indirect taxes.

- Restructure Indirect Taxes:

The structure of indirect taxes in Pakistan needs to be changed to enhance resource mobilization through taxation.

- Cut Excessive Concessions and Exemptions:

The report emphasizes the need to reduce the number of concessions and exemptions provided in the current tax structure.

World Bank's Analysis for Resource Mobilization:

- Historical Context:

The World Bank's analysis was conducted in the context of structural adjustment programs and the identified challenges of resource mobilization and budget deficits.

- Key Points:

Strengthening the tax base, increasing direct tax share, restructuring indirect taxes, and cutting excessive concessions were highlighted as key areas for improvement.

Issues in Taxation 2

Pre-1991 Situation:

1. Tax Collection Distribution:
   - 90% of tax collection was at the federal level, with only 10% distributed among provincial and local governments.
   - Provinces played a critical role in delivering basic social services despite limited revenue access.

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2. Revenue Access and Deficit Financing:
    - Provinces accessed revenues from the federal divisible pool for recurring accounts.
    - Deficits were financed through grants-in-aid or loans from the federal government.

Post-1991 NFC Awards:

1. Shift in Responsibility:
    - After the 1991 NFC Awards, the federal government stopped payments to provincial governments, pushing them to self-finance their expenditures.

Issues at Provincial Level:

1. Limited Scope of Provincial Taxes:
    - Existing federal taxes left little room for provinces to introduce new taxes at the provincial level.

2. Poor Tax Administration:
    - Inefficient tax authorities and poor administration led to revenue deficits.

3. Inability to Access Key Areas:
    - Provinces struggled to access crucial areas of taxation, including agriculture income tax, service tax, and capital gains on immovable property.

4. Tax Elasticity and Fiscal Effort:
    - Tax elasticity for revenue growth remained low at the provincial level.
    - Provinces made minimal fiscal efforts due to the expectation of automatic access to ad hoc revenue deficit grants.

Diversified Resource Mobilization Strategy:

1. Focused Measures:
    - Provinces adopted a strategy focusing on existing taxes, removing exemptions, and expanding the tax net.

2. Positive Impact:
    - Implementation of these measures resulted in increased revenue for provinces.

Continuing Issues:

1. Tax Dodgers and Vested Interests:
    - Despite efforts, wealthy individuals in Pakistan evade taxes, often driven by powerful interests.
    - Agriculture income tax evasion is associated with influential landlord groups.

2. **FBR Efforts:**

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- The Federal Board of Revenue (FBR) introduces amnesty schemes to address tax evasion.

Note for Exams:

- Limited provincial tax scope, poor administration, inability to access key areas, and challenges with tax elasticity are key issues.
- Provinces adopted a diversified strategy resulting in positive revenue impacts.
- Ongoing studies highlight tax evasion by affluent individuals, and the FBR introduces amnesty schemes for revenue increase.

Debt and Deficits

1. Deficit and Debt:

- Deficit: When government expenditures exceed revenues.
- Deficit leads to borrowing, and borrowing becomes the debt of the country.
- Deficit is a major economic problem in both developing and developed economies.
- Deficit harms the economy by increasing debt, leading to inflation, and crowding out investments.

2. Consequences of Deficit:

- Debt: The foremost problem associated with deficits, becoming a burden for the country.
- Inflation: Arises from various deficit financing methods.
- Crowding Out: Government deficits discourage private investment.
- Macroeconomic Implications: Strong relationship with other economic variables.

3. Deficit Financing:

- Options: Government borrows through domestic and foreign means.
- Printing New Money: A method used, but has inflationary consequences.

4. Pakistan's Situation:

- Persistent Deficit: Pakistan faces a recurring deficit in the budget.
- Resulting Debt: Creates a serious problem for the country.
- Fiscal Pressure: Due to various domestic challenges like floods, terrorism, energy shortages.
- Limited Resources: Constrained fiscal resources complicate deficit management.

5. International Financial Institutions:

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- IMF and World Bank stress on deficit elimination as a top priority.
- Structural Adjustment Programs: Address deficit as a crucial economic variable.

6. Debates on Debt:

- Views: Debt is seen as both a burden and an intergenerational equity tool.
- Public Debt Spending: Efficiency depends on how the public debt is utilized.

7. Example of the U.S.:

- U.S. Economy: World's largest debtor nation.
- Consequences: Initially inflation due to deficits, but later, deficit reduction led to economic growth.
- Varying Impacts: The relationship between deficit, debt, and economic outcomes varies across countries.

8. Pakistan's Deficit Concerns:

- Unnecessary Expenditures: Non-developmental spending contributes to deficits.
- Corruption: A factor affecting deficit and debt.
- Revenue Issues: Large tax cuts contribute to deficits.

Key's

• A budget deficit occurs when a government's expenditures exceed its revenues. It indicates the amount of borrowing the government needs to do.

• Persistent deficits are a major problem for developing economies according to IMF and World Bank. They stress eliminating deficits through policy changes.

• Deficits lead to government debt which is a burden for the economy.

• Deficits can cause inflation through the ways governments finance deficits.

• Deficits discourage investment by crowding out private investment.

• Deficits limit funds for social services due to low revenues.

• Governments finance deficits through domestic and foreign borrowing.

• Pakistan has a persistent deficit which has led to huge debt and economic problems. Corruption and tax cuts contribute to the deficit.

• Whether debt is a burden depends on how debt funds are used. Debt repayment by future generations can create intergenerational equity if current investment benefits them.

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Fiscal Deficit of Pakistan 1

1. Structural Adjustment Program (SAP) in 1980s:

- Initiated by international financial institutions.
- Key Focus: Reduction in fiscal deficit as the primary agenda.
- World Bank's View: Debt reduction essential for sustainable growth and development.

2. Importance of Fiscal Deficit Reduction:

- View of International Financial Institutions: Growth and development hindered by persistent fiscal deficit.
- 1980s Fiscal Deficit: High at 8% of GDP.
- Debt Reduction: Stressed as a major task for sustainable development.

3. Features and Problems of Pakistan's Fiscal Deficit:

- Annual Budget Deficit: Persists every year due to revenue growth lagging behind expenditure growth.
- Expenditure Categories: Current expenditures higher than developmental expenditures.
- Defense Expenditure: Historically high, contributing significantly to the fiscal deficit.
- Interest Payments: Major component of expenditures, affecting budget allocations.
- Persistent Deficit: Ongoing issue in both foreign and domestic debt.
- Domestic Debt: Higher than foreign debt, with non-bank borrowing leading to high-interest rates.
- Crowding Out Effect: High-cost non-bank borrowing discourages private investment.

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4. Trends in Fiscal Deficit (% of GDP):

- 1980s: 8% of GDP.
- 1990s: 7% of GDP.
- 2000s: 4.5% of GDP.
- 2010s: 6.2% of GDP.
- 2016: 4.6% of GDP.

5. Economic Survey of Pakistan:

- Recommended resource for understanding practical application and current fiscal development.
- Chapter 4: Fiscal Development provides insights into expenditure composition, revenue trends, etc.

Keys

• Pakistan has been facing a high fiscal deficit of around 8% of GDP since the 1980s. This has been identified as a major macroeconomic problem by international financial institutions.

• Pakistan's expenditures have been growing faster than its revenues, resulting in the persistent budget deficit.

• A large portion of Pakistan's expenditures go towards current expenditures rather than developmental expenditures.

• Defense expenditures make up a significant portion of Pakistan's budget and are higher than developmental expenditures.

• Interest payments on Pakistan's public debt make up a major component of expenditures.

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• Pakistan relies more on domestic borrowing rather than foreign borrowing, and its domestic debt is higher than foreign debt. The domestic borrowing is at a high cost and crowds out investment.

• Though the fiscal deficit has reduced over time, it remains high at around 4-6% of GDP in recent decades.

• The economic survey of Pakistan and its fiscal development chapter provide an overview of Pakistan's expenditure composition, revenue sources, and fiscal trends.

Fiscal Deficit of Pakistan 2

1. Persistent Fiscal Deficit:
- Pakistan faces a recurring budget deficit, where expenditures exceed revenues.
- The deficit leads to borrowing, contributing to macroeconomic problems.

2. IMF and World Bank Perspective:
- International lenders emphasize the importance of reducing fiscal deficit for sustainable growth.
- Despite being higher than international standards, Pakistan's deficit is considered relatively gentle.

3. Concerns and Consequences:
- Macro Problems: Inflation, crowding out of private investment, and impact on the balance of payments.
- Structural Adjustment Program: Initiated in the 1980s to focus on debt reduction and deficit elimination.

4. Sustainable Level of Deficit:
- IMF and World Bank suggest bringing down the deficit to a sustainable level (around 4% of GDP).

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- Importance of maintaining an acceptable growth-to-debt ratio.

5. Critical Concerns:
- Financing the Deficit: Focus on how the deficit is financed and increasing revenue.
- Defense Spending Pattern: Observation of defense expenditure, which historically remained high.

6. Economic Performance and Unreported Economy:
- Pakistan's economy performed relatively better compared to similar economies.
- Speculation about the unreported or informal economy constituting a significant portion.

7. Governance Issues:
- Corruption: Rampant corruption at national and provincial levels affecting the efficient use of public funds.
- Unfair Political Power: Misuse of political power in budget allocation.

8. Governance as a Critical Concern:
- Addressing governance issues crucial for reducing deficit and managing fiscal resources effectively.
- Conventional economists consider budget deficit as undesirable for economic health.

9. Fiscal Policies Critique:
- IMF and World Bank critique fiscal policies in the 1980s as a critical failure in handling deficit issues.

Summary of Discussion:
- Two-part discussion covering features, trends, and critical concerns related to Pakistan's fiscal deficit.
- Governance emerges as a key area needing improvement for effective deficit management.

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Keys

- Pakistan has a persistent deficit in its budget, which is a major problem for the country's economy.
- The deficit is responsible for growing inflation and other macroeconomic problems in the country, according to international lenders IMF and World Bank.
- Pakistan is crowding out private investment due to the persistent deficit and its impact on balance of payment. The World Bank and IMF have focused on reducing debt and eliminating the deficit in Pakistan's structural adjustment program in the 1980s. The current fiscal deficit is higher than international standards but is not as harmful as other under developing economies. The deficit should be brought down to the sustainable level for long-term economic growth and development.
- Concerns related to Pakistan's fiscal deficit include financing, how public debt will be spent, and the pattern of defense spending in the past decade. The military spending in Pakistan has historically been high, indicating a need for sustainable debt repayment and debt accumulation.
- Debt repayment and accumulation should be accompanied by a reasonable debt servicing ratio to ensure sustainable growth and economic stability in the future.

Domestic and Foreign Debt Crisis 1

1. Types and Composition of Debt:

- Pakistan faces a significant debt issue due to persistent budget and current account deficits.

- Debt is incurred for budget financing, current account deficits, and developmental projects (e.g., CPEC).

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2. Total Outstanding Debt and Liabilities (June 2017):

- Total debt and liabilities equal to 79% of GDP.

- Public debt constitutes 85%, and private debt constitutes 15% of the total.

3. Composition of Debt:

- Borrowing Sources: Commercial Banks, State Bank, National Saving Scheme, Price Bonds, and International Borrowing (IMF, World Bank, Asian Development Bank).

- Debt is categorized into domestic and foreign borrowing.

4. Types of Domestic Debt:

- Floating Debt: Short-term, including cash credit and treasury bills.

- Unfunded Debt: Medium-term, targeted at the general public (national savings scheme).

- Permanent Debt: Long-term, with a time period ranging from 7 to 20 years, sourced from insurance companies and commercial banks.

5. History of Debt Crisis:

- Debt crisis in Pakistan is believed to have arisen in the 1980s.

- Despite economic growth, the crisis intensified in the 1990s due to falling revenues and political instability.

- Debt servicing became problematic, especially with the liberalization of interest rates.

6. Consequences of Debt Crisis in the 1990s:

- Interest Rate Rise: Interest rates soared to 20%, leading to market failures.

- Decline in Developmental Spending: Developmental spending dropped from 40% to 13% of total spending.

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- Rise in Interest Payments: Interest payments became a significant share of total spending, impacting development.

7. Foreign Debt Crisis:

- Foreign debt also witnessed a continuous rise, reaching more than 60% of GDP in 2001.

- International aid, particularly after 9/11, provided temporary relief.

8. 1980s vs. 1990s Comparative Analysis:

- 1980s: Comfortable debt servicing due to economic growth.

- 1990s: Falling revenues, declining economic growth, and political instability intensified the debt crisis.

9. Current Scenario:

- Thorough understanding of the types, nature, and statistics of debt is crucial to addressing the ongoing debt crisis.

- Domestic and foreign debt continues to be a significant challenge for Pakistan.

Key Points

Types of Debt:

- Total Debt: 79% of GDP in June 2017, consisting of public debt (85%) and private debt (15%).
- Public Debt: Borrowed from:
  - Domestic sources: Commercial banks, Central Bank, National Savings Scheme, bonds.
  - Foreign sources: International financial institutions (IMF, World Bank, ADB), bilateral countries.
- **Domestic Debt:**
  - Floating: Short-term, from commercial and central banks (cash credit, treasury bills).
  - Unfunded: Medium-term, targeted at the public (national savings schemes).
  - Permanent: Long-term (7-20 years), from insurance companies and commercial banks.

History of Debt Crisis:

- 1980s: Debt started accumulating, but economic performance was good (rising revenues, growth).

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- 1990s: Debt became a crisis due to:
  - Falling revenues and growth rate.
  - Political instability and frequent government changes.
  - Structural adjustment programs leading to high interest rates (up to 20%).
- Consequences:
  - Reduced development spending (from 40% in 1980s to 13% in 2000s).
  - Increased interest payments, hindering development.

Foreign Debt:

- Continuously rising, exceeding 60% of GDP in 2001.
- Dependence on foreign institutions for debt rescheduling